

Apple Inc.
AAPL NASDAQ

Hold	\$311.30 ▼ 1.75%	12M Price Target \$330.00	52-Week Range \$224.69 – \$344.57	Market Cap \$4.54T
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AAPL: Vision Pro Cuts Signal Pivot to Smart Glasses

WHAT HAPPENED

- Apple is laying off Vision Pro staff and shifting resources to smart glasses — this is basically an admission that the \$3,500 headset was a commercial dud. Not surprising, but it matters because it signals Apple is chasing Meta's Ray-Ban glasses playbook rather than defending its own moonshot. Reallocation of talent = good; sunk-cost fallacy would have been worse.
- CEO transition chatter (Ternus reportedly next in line to replace Tim Cook) is heating up. Markets hate succession uncertainty even when the successor is well-regarded — that's part of why the stock gave back 1.75% yesterday after Tuesday's pop.

WHY IT MATTERS

The options market is flashing yellow — a put/call ratio of 0.51 sounds bullish on the surface (more calls than puts), but the UNUSUAL put buying at \$315, \$330, and \$335 strikes tells you big money is buying downside protection right at current levels. That's someone with real capital hedging against a near-term drop. Combined with the insider selling from the General Counsel (routine, but still no insider buying anywhere) and the fact that AAPL is at 72% of its 52-week range, the risk/reward has gotten less attractive here. The bigger story: Apple is transitioning — new CEO likely coming, Vision Pro dead, foldable iPhone and smart glasses being the next big swings — and transitions create volatility even for the world's most stable mega-cap.

POLICY & POLITICAL WATCH

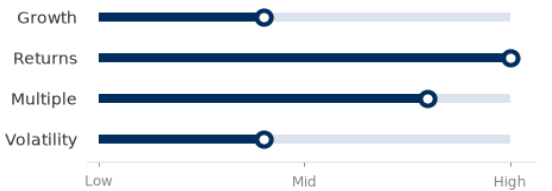
The single biggest political variable for Apple is US-China trade policy. Apple still assembles the majority of iPhones in China, and any tariff escalation or export control expansion hits margins directly — every 5% incremental tariff on Chinese electronics roughly costs Apple \$3-5B in gross profit unless they pass it to consumers (which hurts demand) or eat it. Also watch the DOJ antitrust case on the App Store — if courts force Apple to allow third-party payment processors, that 30% "Apple tax" on developers (worth ~\$25B/year in Services revenue) starts eroding. Friendlier angle: any US manufacturing incentive extensions could benefit Apple's growing India/Vietnam diversification and their Texas server plants for Apple Intelligence.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$311.30
12M Price Target	\$330.00
Upside / (Downside)	+6.0%
Market Cap	\$4.54T
FY2026E Revenue	\$425M
FY2027E Revenue	\$455M
FY2026E EPS	\$7.45
FY2027E EPS	\$8.20
Fwd P/E	41.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$325.00	\$312.00	\$295.00
6 Months	\$355.00	\$320.00	\$275.00
1 Year	\$380.00	\$330.00	\$260.00
2 Years	\$450.00	\$365.00	\$250.00
5 Years	\$600.00	\$450.00	\$280.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% over 5 days) — likely reflecting oil price strength and any geopolitical premium being priced in. Real Estate holding up as rate-cut expectations firm.

COOLING OFF: Technology (-4% over 5 days) and Communication Services (-1.7%). The mega-cap tech trade is exhausted after a huge run — money is rotating out of crowded names. Utilities also weak, suggesting this isn't a defensive rotation.

ROTATION WATCH: Money is leaving Big Tech and going into Energy and cyclicals — this is a "growth is priced in, value looks cheaper" rotation. Bad short-term backdrop for AAPL specifically because it's a Tech + Comm-adjacent name getting hit from both sides.

RELATED PLAY: If smart glasses are the new frontier, watch Meta (META) — they're 2 years ahead with Ray-Ban Meta glasses. And the chip suppliers (Broadcom for Apple's custom silicon, TSM for fab).

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Winning the smart-glasses race that Apple is now chasing — Ray-Ban Meta is a real product with real sales.
- GOOGL (Alphabet): Waymo building custom AI chips shows vertical integration paying off; also they're the one holding the \$20B search-deal card against Apple.

AAPL CONTEXT: Apple is lagging the AI narrative badly — Apple Intelligence has been underwhelming and now they're playing catch-up in glasses too. When Tech sector is down 4% in a week and AAPL is only mid-pack, that tells you it's neither a leader nor a safe haven right now. That's a "hold" not a "buy."

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 4-6% of portfolio (core holding)

Entry Points: \$295-305 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: China tariff escalation hits margins >300bps, or foldable iPhone launch flops

Hedging: Buy protective puts around earnings, or pair with a China-exposure short